

PRACTICE PROBLEMS

1. Grupo Ignacia issued 10-year corporate bonds two years ago. The bonds pay an annualized coupon of 10.7 percent on a semiannual basis, and the current annualized YTM is 11.6 percent. The current price of Grupo Ignacia's bonds (per MXN100 of par value) is *closest* to:
 - A. MXN95.47.
 - B. MXN97.18.
 - C. MXN95.39.
2. Grey Pebble Real Estate seeks a fully amortizing fixed-rate five-year mortgage loan to finance 75 percent of the purchase price of a residential building that costs NZD5 million. The annual mortgage rate is 4.8 percent. The monthly payment for this mortgage would be *closest* to:
 - A. NZD70,424.
 - B. NZD93,899.
 - C. NZD71,781.
3. Mylandia Corporation pays an annual dividend to its shareholders, and its most recent payment was CAD2.40. Analysts following Mylandia expect the company's dividend to grow at a constant rate of 3 percent per year in perpetuity. Mylandia shareholders require a return of 8 percent per year. The expected share price of Mylandia is *closest* to:
 - A. CAD48.00.
 - B. CAD49.44.
 - C. CAD51.84.
4. Suppose Mylandia announces that it expects significant cash flow growth over the next three years, and now plans to increase its recent CAD2.40 dividend by 10 percent in each of the next three years. Following the 10 percent growth period, Mylandia is expected to grow its annual dividend by a constant 3 percent indefinitely. Mylandia's required return is 8 percent. Based upon these revised expectations, The expected share price of Mylandia stock is:
 - A. CAD49.98.
 - B. CAD55.84.
 - C. CAD59.71.
5. Consider a Swiss Confederation zero-coupon bond with a par value of CHF100, a remaining time to maturity of 12 years and a price of CHF89. In three years' time, the bond is expected to have a price of CHF95.25. If purchased today, the bond's expected annualized return is *closest* to:
 - A. 0.58 percent.
 - B. 1.64 percent.